CHAPTER-4 ADMISSION OF A PARTNER

Reconstitution of Partnership:

The agreement between partners defines the relation between them and whenever there is a change in their relationship, it amounts to reconstitution of the partnership firm.

A partnership is reconstituted when:

1. There is a change in the profit-sharing ratio among existing partners, or
2. A new partner is admitted, or
3. Retirement of an existing partner, or
4. Death of an existing partner, or
5. Takeover, merger or amalgamation of two or more partnership firms.

Admission of a partner:

A partner may be admitted to an existing partnership with the consent of all the partners.
On his admission, the incoming partner automatically gets a right to share the profits of the firm as well as share the assets of the firm.

Effects of admission of a partner:

1. The old partnership comes to an end and new partnership is commenced.
2. The new partner acquires the same right as old partner i.r.t share of profits and share in the assets of the firm subject to the partnership agreement.
3. The incoming partner contributes his share of capital.
4. The incoming partner may also be required to provide for acquiring his share in the goodwill of the existing firm. Goodwill may be valued by the partners at the time of admission.
5. The incoming partner may request the existing partners to revalue the assets and liabilities before entering into partnership. Any profit or loss arising on such revaluation will have to be adjusted among the existing partners.
6. Adjustments may be required for making the capitals as proportionate to the sharing ration among partners.

Procedure/steps involved in accounting at the time of admission of a partner:

1. Calculate new profit-sharing ratio among all partners and sacrificing ratio of old partners.
2. Make adjustments for goodwill.
3. Make adjustment for any reserve or surplus or accumulated losses that appear in the balance sheet before admission of new partner.
4. Revalue assets and liabilities.
5. Make capital adjustments among all partners.
6. Prepare revised capital accounts and fresh balance sheet after admission of new partner.

Let us discuss the steps involved at the time of admission of a partner in detail:

I. New Profit-sharing ratio:

New profit-sharing ratio has to be calculated for sharing the future profits among them including the new partner.

New profit-sharing ratio is sometimes given in the question, hence no need to calculate it again. But sometimes it has to be calculated where information is available as to how the new partner acquires his share of profits.

New partner may acquire his share in the future profits from the old partners in any of the following ways:

a. From all partners in their old PSR, or
b. From all the partners in an agreed ratio, or
c. From some old partners only in an agreed ratio, or
d. As a fraction of the share of old partners.

New profit-sharing ratio is calculated as follows:

1. **For old partners:**

   New share = Old share – Sacrificed share

   (Old share is calculated from old PSR, sacrificed share is calculated from the details given in the question regarding how the new partner gets his share from old partners.)

2. **For new partner:**

   New share = ∑ Sacrificed share of profits by old partners in favour of new partner

3. **New profit-sharing ratio for all partners including new partner:**

   NPSR = Ratio of new share of all partners as calculated in point 1 and 2 above.

Example: *if A, B, C were old partners, then old PSR is given as A:B:C. A new partner D is admitted to their partnership. Now old partners must sacrifice some of their share of profits in favour of the new partner. The profits sacrificed by old partners is clubbed together to find out the share of new partner in future profits of the firm. Finally, new profit-sharing ratio between all partners is written as A:B:C:D.*

II. Sacrificing Ratio:

Sacrificing ratio is the ratio in which the old partners surrender or sacrifice their share of profits in favour of the incoming partner.

Sacrificed share = Old share – New share

Sacrificing Ratio = Ratio of sacrificed share by all old partners

Notes:

1. Where nothing is given as to how the new partner gets his share in future, then it is assumed that he gets his share from all the old partners in their old PSR. Hence the old PSR becomes the sacrificing ratio among old partners.
2. When the new PSR is not given and nothing is given regarding how the new partner gets his share in future, then new PSR between the old partners remain same.
3. Before attempting any question make sure that old PSR, new PSR and sacrificing ratio is available. It will be helpful when everything is available as these ratios are important for making various adjustments among partners at the time of admission of a partner.
4. When the any old partner starts to gain on the admission of a partner due to fresh arrangement between them, then his sacrificed share is written with minus sign.

III. Adjustment of Goodwill:

When the new partner is admitted into the partnership, then the old partners estimate the amount of goodwill of their business. Now since the goodwill has been generated by the old partners over a period of time, they are justified in asking the new partner to compensate them for any sacrifice they make in their share of goodwill in favour of new partner.

From accounting point of view:

1. The new partner will bring in amount equal to his acquired share of goodwill. This amount is termed as premium for goodwill, which is finally distributed among the sacrificing partners in their sacrificing ratio.

2. If the new partner compensates the sacrificing partners by paying this premium privately outside the business, then no accounting treatment is done in books of partnership firm.

3. Following journal entries are done at the time of adjusting goodwill:

   a. For amount of premium for goodwill brought by new partner:

Cash/Bank/Asset A/c	Dr.	
To Premium for Goodwill A/c		

   b. For adjusting the premium for goodwill among sacrificing partners:

Premium for goodwill A/c	Dr.	
To Sacrificing Partners' Capital/Current A/c		

   c. For withdrawal of amount of premium for goodwill by old partners:

Partners' Capital/current A/c	Dr.	
To Cash/Bank A/c		

4. Sometimes goodwill appears in the existing balance sheet of the old partners. The existing goodwill will always be written off between old partners in their old PSR before making any further adjustment of goodwill. After existing goodwill has been written off, then fresh valuation of goodwill will be done and then the above mention journal entries will be passed.

   For writing off the value of existing goodwill:

Old partners' Capital/current A/c	Dr.	
To Goodwill A/c		

5. Sometimes the incoming partner is unable to bring the premium for goodwill. In such a case his capital account will be debited to realize the premium for goodwill in order to compensate the sacrificing partners. Inability of new partner to bring his share of goodwill does not mean that the adjustment of goodwill will not be made.

   For realising premium for goodwill from new partner's capital account:

New Partner's Capital/current A/c	Dr.	
To Premium for goodwill A/c		

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For adjusting the premium for goodwill among sacrificing partners:

Premium for goodwill A/c Dr.
To Sacrificing Partners' Capital/Current A/c

Note: Instead of passing the above two entries, the goodwill in such a case can be adjusted by passing capital to capital entry as follows:

New Partner's Capital/current A/c Dr.
To Sacrificing Partners' Capital/current A/c

6. Sometimes the incoming partner brings only part premium for goodwill. In such a case the remaining part premium is realised from his capital account and then adjusted accordingly.

For receiving part premium for goodwill and realising remaining part premium from capital account:

Cash/Bank/Assets A/c Dr.
New Partner's Capital/current A/c Dr.
To Premium for goodwill A/c

For adjusting the premium for goodwill among sacrificing partners:

Premium for goodwill A/c Dr.
To Sacrificing Partners' Capital/Current A/c

Concept of Hidden Goodwill or Inferred Goodwill

Sometimes the amount of goodwill is not given but it is required to be calculated on the basis of new profit-sharing ratio and the amount of capital contributions of each partner. The goodwill so estimated by using this method is called inferred or hidden goodwill.

For example: A and B are equal partners with capitals of ₹ 50000/- and ₹ 100000/- respectively. C is admitted for 1/4th share and brings ₹ 60000/- as his share of capital. Find out hidden goodwill.
Total capital on the basis of new partner's share and capital contribution will be ₹ 240000/-, however the total capitalization of the new firm of A,B,C is ₹ 210000/-. Hence value of goodwill is ₹ 30000/-.

IV. Revaluation of Assets and Liabilities:

The value of assets and liabilities may differ from their book values at the time of admission of a partner. In such a situation the incoming partner asks the existing partners to revalue the assets and liabilities to their present value so that his capital contribution may be calculated and he is not put to any advantage or disadvantage because of incorrect values of assets and liabilities.
For the purpose of revaluation of assets and liabilities, a new account names 'Revaluation Account' is opened. It is a nominal account and shows the net profit or loss on revaluation of assets and liabilities.

Journal entries for carrying out the revaluations are:

1. For increasing the value of an asset:

Asset A/c Dr.
To Revaluation A/c

2. For decreasing the value of an asset:

Revaluation A/c	Dr.
To Asset A/c	

3. For increasing the value of a liability:

Revaluation A/c	Dr.
To Liability A/c	

4. For decreasing the value of a liability:

Liability A/c	Dr.
To Revaluation A/c	

5. For recording of an unrecorded asset:

Asset A/c	Dr.
To Revaluation A/c	

6. For recording of an unrecorded liability:

Revaluation A/c	Dr.
To Liability A/c	

7. For distributing the net profit on revaluation among old partners in their old PSR:

Revaluation A/c	Dr.
To Old Partners' Capital/current A/c	

8. For distributing the net loss on revaluation among old partners in their old PSR:

Old Partners' Capital/current A/c	Dr.
To Revaluation A/c	

It must be noted that when all revaluation of assets and liabilities have been recorded then the assets and liabilities which have been revalued shall be shown at their revalued figures in the balance sheet after admission of new partner.

Dr. Revaluation A/c Cr.

Particulars	Amount ₹	Particulars	Amount ₹
To Decrease in asset	XX	By Increase in Asset	XX
To Increase in Liability	XX	By Decrease in Liability	XX
To Unrecorded Liability	XX	By Unrecorded Asset	XX
To Profits transferred in Old PSR:*		By Loss transferred in Old PSR:*	
A ---		A ---	
B ---	XX	B ---	XX
Total:	**XXXX**	**Total:**	**XXXX**

* Any one

Concept of Memorandum Revaluation Account

Sometimes the partners may decide to adjust the values of all assets and liabilities on their revaluation but without altering the same in the balance sheet. This method helps the partners to adjust any gain or loss on revaluation of assets and liabilities and at the same time keeps the assets and liabilities at their present values even after admission of new partner.
This is done by making a memorandum revaluation account. This account is not a part of book keeping and accounting process and is made in separate set of books only for the purpose of making adjustment in partners' capital accounts on admission of partner.
The memorandum revaluation has two parts. In the first part the same treatment is done just like revaluation account. In the second part the reverse treatment is given to nullify the effects of revaluation so that the values of assets and liabilities remain unaltered.
However, where in the first part the profit/loss is distributed among old partners in their old PSR; in the second part the loss/profit is distributed among all partners including new partner in their new PSR.

Dr. **Memorandum Revaluation A/c** **Cr.**

Particulars	Amount ₹	Particulars	Amount ₹
To Decrease in asset	XX	By Increase in Asset	XX
To Increase in Liability	XX	By Decrease in Liability	XX
To Unrecorded Liability	XX	By Unrecorded Asset	XX
To Profits transferred in Old PSR:*		By Loss transferred in Old PSR:*	
A ---		A ---	
B ---	XX	B ---	XX
To Increase in Asset	XX	By Decrease in asset	XX
To Decrease in Liability	XX	By Increase in Liability	XX
To Unrecorded Asset	XX	By Unrecorded Liability	XX
To Profits transferred in New PSR:#		By Loss transferred in New PSR:#	
A ---		A ---	
B ---		B ---	
C ---	XX	C ---	XX
Total:	**XXXX**	**Total:**	**XXXX**

Any one

V. Adjustment of accumulated reserves, profits and losses:

The amount of reserves, profits and losses that appear in the balance sheet before the admission of new partners belongs only to the old partners and that too in their old PSR.
Hence such amount of profits and losses are distributed among the old partners in their old PSR on admission of a new partner.

Following journal entries are passed:

1. For distribution of reserves and profits:

General Reserve A/c	Dr.
P&L A/c	Dr.
Reserve Fund A/c	Dr.
To Old Partners' Capital/Current A/c	

2. <u>For distribution of accumulated losses:</u>

Old Partners' Capital/Current A/c	Dr.
To P&L A/c	
To Deferred Revenue Expenditures A/c	
To Misc. Expenditure A/c	

VI. <u>Adjustment of Workmen Compensation Fund:</u>

Workmen compensation fund is a separate fund maintained by the business entity, factory or an industrial unit, for use at the time of making payment as compensation to an employee who suffers any injury during work. This fund is created by appropriation of profits by the partners on an estimate basis therefore the fund balance may or may not be adequate. The WCF is shown under the head reserves and surplus in the balance sheet. The following 4 situations may arise at the time of admission of a partner:

1. <u>Situation I – There is no award of compensation due by the firm</u>

In such a situation, no claim is due on the firm and the amount of fund is distributed among old partners in old PSR.

Workmen Compensation Fund A/c	Dr.
To Old Partners' Capital/Current A/c	

2. <u>Situation II – There is award of compensation due by the firm for an amount less than fund balance</u>

In such a situation, the claim due on the firm is shown as liability in the new balance sheet and the excess amount of WCF is distributed among old partners in old PSR.

Workmen Compensation Fund A/c	Dr.
To Workmen Compensation Liability A/c	
To Old Partners' Capital/Current A/c	

3. <u>Situation III – There is award of compensation due by the firm for an amount equal to fund balance</u>

In such a situation, the claim due on the firm is shown as liability in the new balance sheet by transferring the amount of WCF to WCL account.

Workmen Compensation Fund A/c	Dr.
To Workmen Compensation Liability A/c	

4. <u>Situation IV – There is award of compensation due by the firm for an amount more than fund balance</u>

In such a situation, the claim due on the firm is shown as liability in the new balance sheet by transferring the amount of WCF to WCL account along with additional amount (excess of WCL over WCF) from Revaluation account.

Workmen Compensation Fund A/c	Dr.
Revaluation A/c	Dr.
To Workmen Compensation Liability A/c	

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VII. Adjustment of Investment Fluctuation Reserve:

Investment fluctuation fund is maintained to face the loss which may happen due to fall in the market value of the investments on a future date. IFR is shown under reserves and surplus in the balance sheet. This reserve is created by appropriation of profits by the partners on an estimate basis therefore the reserve balance may or may not be adequate to meet the loss on devaluation of investments. The following 3 situations may arise at the time of admission of a partner:

1. Situation I – There is no fall in value of investments

In such a situation, there is no need for maintaining the reserve balance and the same is distributed among the old partners in old PSR.

Investment Fluctuation Reserve A/c	Dr.	
To Old Partners' Capital/Current A/c		

2. Situation II – There is a fall in the value of investments by an amount less than the reserve balance

In such a situation, the value of the investments in brought down to the actual market value and the balance of the IFR is distributed among old partners in old PSR.

Investment Fluctuation Reserve A/c	Dr.	
To Investment A/c		
To Old Partners' Capital/Current A/c		

3. Situation II – There is a fall in the value of investments by an amount more than the reserve balance

In such a situation, the value of the investments in brought down to the actual market value and the balance of the diminution in value is adjusted through revaluation account.

Investment Fluctuation Reserve A/c	Dr.	
Revaluation A/c	Dr.	
To Investment A/c		

VIII. Adjustment of Partners' Capital Accounts:

The partners may decide that on the admission of a new partner, the capital accounts may be adjusted. There can be two ways of adjusting the capital accounts of partners. These are:

1. Adjustment of old partner's capital accounts on the basis of new partner's share of profit and capital contribution, or making capital accounts of old partners proportionate to new PSR.
2. Calculation of incoming partners' capital contribution on the basis of old partners' capital.

Let us discuss the two methods in detail.

A. Adjustment of old partner's capital accounts on the basis of new partner's share of profit and capital contribution, or making capital accounts of old partners proportionate to new PSR

Steps:

1. Prepare the capital accounts of all partners after making all the other adjustments given in the question except capital adjustment and find out the closing balance of each partner's capital account.
2. Calculate the total capital of the firm on the basis of new partners' share of profits and his capital contribution.

$$\text{Total Capital of the firm} = \frac{\text{Capital of new partner}}{\text{Share of profit of new partner}}$$

3. Determine the capital of each partner by dividing the total capital as above in the new PSR.

4. Find out the surplus or deficiency in capital account of each partner.
   Surplus = Existing closing capital as per point 1 - Capital as per point 3
   Deficit = Capital as per point 3 - Existing closing capital as per point 1

5. Adjust the capital of old partner for surplus or deficiency. Such adjustment can be made either in cash or through current account of partner.

B. Calculation of incoming partners' capital contribution on the basis of old partners' capital.

Steps:

1. Determine the existing capital of old partners after all adjustments except capital adjustment.

2. Calculate the total capital of the new firm as:

$$\text{Total capital of the firm} = \frac{\text{Total capital of old partners}}{\text{Total of new share of old partners}}$$

3. Determine the share of new partner as:

   Capital of new partner = Total capital of firm * Share of profits

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Test Your Knowledge & Practice

Calculation of New Profit-Sharing Ratio and Sacrificing Ratio

1. X, Y and Z are partners sharing profits and losses in the ratio of 5:3:2. They admit A into partnership and give him 1/5th share of profits. Find the new profit-sharing ratio.
(Ans: New PSR:- 20:12:8:10)

2. P and Q are sharing profits in the ratio of 7:3. They admit R for 3/7th share in the firm which he takes 2/7th from P and 1/7th from Q. Calculate new profit-sharing ratio.
(Ans: New PSR:- 29:11:30)

3. X and Y are partners in a firm sharing profits and losses in the ratio of 3:2. Z is admitted as partner with 1/4 share in profit. Z acquires his share from X and Y in the ratio of 2:1. Calculate new profit-sharing ratio.
(Ans: New Ratio:- 26:19:15)

4. X and Y were partners sharing profits in the ratio of 3:2. They admitted P and Q as new partners. X surrendered 1/3rd of his share in favour of P and Y surrendered 1/4th of his share in favour of Q. Calculate new profit-sharing ratio of X, Y, P and Q.
(Ans: New Ratio:- 4:3:2:1)

5. A and B are partners sharing profits and losses in the proportion of 7:5. They agree to admit C, their Manager, into partnership who is to get 1/6th share in the profits. He acquires this share as 1/24th from A and 1/8th from B. Calculate new profit-sharing ratio.
(Ans: A:B:C:- 13:7:4)

6. Aman and Saman are partners in a firm sharing profits and losses in the ratio of 7:3. Aman surrenders 2/10th from his share and Saman surrenders 1/10th from his share in favour of Ruhi; a new partner. Calculate new profit-sharing ratio and sacrificing ratio.
(Ans: New PSR:- 5:2:3; Sacrificing Ratio:- 2:1)

7. R and S are partners sharing profits in the ratio of 5:3. T joins the firm as a new partner. R gives 1/4th of his share and S gives 1/5th of his share to the new partner. Find out new profit-sharing ratio.
(Ans: New PSR:- 75:48:37)

8. R and S are sharing profits in the ratio of 4:3. T joins and the new ratio among R, S and T is 7:4:3. Find out the sacrificing ratio.
(Ans: Sacrificing Ratio:- 1:2)

9. A, B and C are partners sharing profits in the ratio of 4:3:2. D is admitted for 1/3rd share in future profits. What is the sacrificing ratio?
(Ans: Sacrificing Ratio:- 4:3:2)

10. Find New Profit-sharing Ratio:

(i) A and B are partners in a firm sharing profits in the ratio of 3:2. C joins the firm. A surrender 1/4th of his share and B 1/5th of his share in favour of C.
(ii) A and B are partners. They admit C for 1/4th share. In future, the ratio between A and B would be 2:1.
(iii) A and B are partners sharing profits and losses in the ratio of 3:2. They admit C for 1/5th share in the profit. C acquires 1/5th of his share from A and 4/5th share from B.

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(iv) X, Y and Z are partners in the ratio of 3:2:1. W joins the firm as a new partner for 1/6th share in profits. Z would retain his original share.
(v) A and B are equal partners. They admit C and D as partners with 1/5th and 1/6th share respectively.
(vi) A and B are partners sharing profits/losses in the ratio of 3:2. C is admitted for 1/4th share. A and B decide to share equally in future.

(Ans: (i) New PSR:- 45:32:23; (ii) New PSR:- 2:1:1; (iii) New PSR:- 14:6:5; (iv) New PSR:- 12:8:5:5; (v) New PSR:- 19:19:12:10; (vi) New PSR:- 3:3:2)

11. A and B are partners sharing profits in the ratio of 3:2. C is admitted as a partner. The new profit-sharing ratio among A, B and C is 4:3:2. Find out the sacrificing ratio.
(Ans: Sacrificing Ratio:- 7:3)

12. A and B are partners sharing profits in the ratio of 5:3. They admit C and the new profit-sharing ratio is agreed at 4:2:1. Calculate the sacrificing ratio and the share of incoming partner.
(Ans: Sacrificing Ratio:- 3:5, Share of C: 1/7)

13. A and B are partners sharing profits and losses in the ratio of 3:2. They admit C into partnership for 1/4th share of the profit while A and B as between themselves sharing profits & losses equally. Calculate the new profit-sharing ratio.
(Ans: New PSR:- 3:3:2, Sacrificing Ratio:- 9:1)

14. X and Y share profits and losses in the ratio of 3:5. Z is admitted for 3/10th share of profits; half of which was gifted by X and the remaining share was taken by Z equally from X and Y. Calculate the new profit-sharing ratio.
(Ans: New PSR:- 6:22:12)

15. A and B are in partnership sharing profits and losses as 3:2. C is admitted for $1/4^{th}$ share. Afterwards D enters for a share of 20 paise in a rupee. Compute profit-sharing ratio of A, B, C and D.
(Ans: New PSR:- 9:6:5:5)

16. A and B are partners sharing profits in the ratio of 2:1. They admit C into partnership giving him 1/5 share in the profits which he acquires from A and B in the ratio of 1:2. Calculate the new profit-sharing ratio.
(Ans: New PSR:- 3:1:1)

17. A and B are partners sharing profits in the ratio of 3:2. A surrenders 1/3rd of his share and B surrenders 1/4th of his share in favour of C, a new partner. Calculate new profit-sharing ratio & sacrificing ratio.
(Ans: New PSR:- 4:3:3, Sacrificing Ratio:- 2:1)

18. X and Y partners sharing profits and losses in the ratio of 3:2. They admit Z into partnership. X gives 1/3rd of his share while Y gives 1/10th from his share to Z. Calculate new profit-sharing ratio and sacrificing ratio.
(Ans: New PSR:- 4:3:3; Sacrificing Ratio:- 2:1)

19. A, B and C are partners sharing profits in the ratio of 2:2:1. D is admitted as a new partner for 1/6th share. C will retain his original share. Calculate the new profit-sharing ratio and sacrificing ratio.
(Ans: New PSR:- 19:19:12:10; Sacrificing Ratio:- 1:1)

20. A, B, C and D are in partnership sharing profits and losses in the ratio of 36:24:20:20 respectively. E joins the partnership for 20% share and A, B, C and D in future would share profits among themselves in the ratio of 3:4:2:1. Calculate new profit-sharing ratio after E's admission.
(Ans: New PSR:- 6:8:4:2:5)

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21. A and B were partners sharing profits in the ratio of 21:9, C was admitted for 9/21 share in profits. Calculate the new profit-sharing ratio and sacrificing ratio.
(Ans: New PSR:- 14:6:15, Sacrificing Ratio:- 7:3)

22. A and B are partners sharing profits in the ratio of 3:2. They admit C, as a new partner who acquires his share as 2/7th from A and 1/7th from B. Calculate the new profit-sharing ratio and sacrificing ratio.
(Ans: New PSR:- 11:9:15, Sacrificing Ratio:- 2:1)

Treatment of Goodwill

23. A and B are partners sharing profits and losses in the ratio of 2:1. They take C as a partner for 1/5th share. The Goodwill Account appears in the books at its full value ₹ 15,000. C is to pay proportionate amount as premium for goodwill which he pays to A and B privately. Pass necessary entries.
(Ans: Debit A's Capital A/c by ₹ 10,000; B's Capital A/c by ₹ 5,000 and Credit Goodwill A/c by ₹ 15,000; No entry is required if goodwill is paid privately)

24. A and B are partners sharing profits and losses in the ratio of 2:5. They admit C on the condition that he will bring in ₹ 14,000 as his share of goodwill in cash to be distributed between A and B. C's share in the future profits or losses will be 1/4th. What will be the new profit-sharing ratio and what amount of goodwill brought in by C will be received by A and B?
(Ans: A will get ₹ 4,000; B will get ₹ 10,000; Profit-sharing Ratio:- 6:15:7)

25. A and B are partners in a firm sharing profits and losses in the ratio of 3:2. They admit C into partnership for 1/5th share. C brings in ₹ 30,000 as capital and ₹ 10,000 as goodwill. At the time of admission of C, goodwill appears in the Balance Sheet of A and B at ₹ 3,000. The new profit-sharing ratio of the partners will be 5:3:2. Pass necessary entries.
(Ans: Dr. Premium for Goodwill A/c ₹ 10,000; Cr. A's Capital A/c and B's Capital A/c: ₹ 5,000 each in their sacrificing ratio:- 1:1)

26. A and B are partners in a firm sharing profits and losses in the ratio of 3:2. A new partner C is admitted. A surrender 1/5th of his share and B surrenders 2/5th of his share in favour of C. For the purpose of C's admission, goodwill of the firm is valued at ₹ 75,000 and C brings in his share of goodwill in cash which is retained in the firm's books. Journalize the above transactions.
(Ans: New Ratio: 12:6:7; Sacrificing Ratio: 3:4; C's Share of Goodwill: ₹ 21,000)

27. B and C are in partnership sharing profits and losses as 3:1. They admit D into the firm, D paying a premium of ₹ 15,000 for 1/3rd share of the profits. As between themselves, B and C agree to share the future profits and losses equally. Draft Journal entries showing appropriations of the premium money.
(Ans: Dr. Premium for Goodwill A/c ₹ 15,000 and C's Capital A/c ₹ 3,750; Cr. B's Capital A/c ₹ 18,750)

28. M and J are partners in a firm sharing profits in the ratio of 3:2. They admit R as a new partner. The new profit-sharing ratio between M, J and R will be 5:3:2. R brought in ₹ 25,000 for his share of premium for goodwill. Pass necessary Journal entries for the treatment of goodwill.
(Ans: Goodwill will be shared in between M and J equally)

29. A and B are in partnership sharing profits and losses in the ratio of 5:3. C is admitted as a partner who pays ₹ 40,000 as capital and the necessary amount of goodwill which is valued at ₹ 60,000 for the firm. His share of profits will be 1/5th which he takes 1/10th from A and 1/10th from B. Give Journal entries and also calculate future profit-sharing ratio of the partners.
(Ans: Profit-sharing Ratio—21: 11: 8)

30. A and B are partners sharing profits and losses in the proportion of 7:5. They agree to admit C, their Manager, into partnership who is to get 1/6th share in the business. C brings in ₹ 10,000 for his capital

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and ₹ 3,600 for the 1/6th share of goodwill which he acquires 1/24th from A and 1/8th from B. The profits for the first year of the new partnership amount to ₹ 24,000. Make necessary Journal entries in connection with C's admission and apportion the profits between the partners.

(Ans: Share of Profit: A: ₹ 13,000; B: ₹ 7,000; C: ₹ 4,000)

31. X and Y are partners sharing profits in the ratio of 3:1. Z is admitted as a partner for which he pays ₹ 30,000 for goodwill in cash. X Y and Z decided to share the future profits in equal proportion. You are required to pass a single Journal entry to give effect to the above arrangement.

(Ans: Dr. Cash A/c: ₹ 30,000 and Y's Capital A/c: ₹ 7,500; Cr. X's Capital A/c: ₹ 37,500)

32. X and Y are partners in a firm sharing profits in the ratio of 3:2. On April 1, 2023 they admit Z as a new partner. The new profit-sharing ratio of X, Y and Z will be 5:5:3. Z contributed the following assets towards his capital and for his share of Goodwill: Stock ₹ 48,000, Debtors ₹ 42,000, Land ₹ 30,000. Plant and Machinery ₹ 54,000. On the date of admission of Z, the goodwill of the firm was valued at ₹ 3,90,000. Record necessary journal entries in the books of the firm on Z admission.

(Ans: Sacrificing Ratio: 14:1)

33. X and Y are partners in a firm sharing profits in the ratio of 3:2. On 1st April, 2023, they admit Z as a new partner for 1/4th share in the profits. Z contributed the following assets towards his capital and for his share of goodwill: Stock ₹ 60,000; Debtors ₹ 80,000; Land ₹ 1,00,000, Plant and Machinery ₹ 40,000. On the date of admission of Z, the goodwill of the firm was valued at ₹ 6,00,000. Record necessary Journal entries in the books of the firm on Z's admission.

34. A and B are partners sharing profits in the ratio of 3:2. C is admitted paying a premium with 1/4th share of profit of which he acquires 1/6th from A and 1/12th from B. The goodwill of the firm is valued at ₹ 5,040. Goodwill already appears at ₹ 3,000. One half of goodwill is withdrawn by the partners. Give the necessary journal entries.

(Ans: Sacrificing Ratio:- 2:1)

35. A and B are partners in a business sharing profits and losses in the ratio of 1/3rd and 2/3rd. On 1st April, 2023, their capitals are ₹ 8,000 and ₹ 10,000 respectively. On that date, they admit C in partnership and give him 1/4th share in the future profits. C brings in ₹ 8,000 as his capital and ₹ 6,000 as goodwill. The amount of goodwill is immediately withdrawn by the old partners in cash. Draft the Journal entries and show the Capital Accounts of all the Partners. Calculate proportion in which partners would share profits and losses in future.

(Ans: New Ratio—1:2:1)

36. A and B were partners in a firm sharing profits and losses in the ratio of 3:2. They admitted C as a new partner for 3/7th share in the profit and the new profit-sharing ratio will be 2:2:3. C brought ₹ 2,00,000 as his capital and ₹ 1,50,000 as premium for goodwill. Half of their share of premium was withdrawn by A and B from the firm. Calculate sacrificing ratio and pass necessary Journal entries for the above transactions in the books of the firm.

(Ans: Sacrificing Ratio:- 11:4)

37. X and Y are partners sharing profits and losses equally. They admit Z for 1/4th share by paying ₹ 5,000 out of his share of ₹ 9,000 of goodwill. Goodwill already appears at ₹ 30,000. Give Journal entries to record the above transactions.

38. A and B are partners sharing profits in the ratio of 2 :1. They admit C for 1/4th share in profits. C brings in ₹ 30,000 for his capital and ₹ 8,000 out of his share of ₹ 10,000 for goodwill. Before admission, goodwill appeared in books at ₹ 18,000. Give Journal entries to give effect to the above arrangement.

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39. X and Y are partners in a firm sharing profits and losses in the ratio of 3:2. They admit Z as a partner for 1/4th share. Z acquires his share from X and Y in the ratio of 2:1. The goodwill of the firm has been valued at ₹ 14,400. Goodwill already appears at ₹ 9,000. Pass the necessary journal entries under each of the following alternative cases:

(a) if Z brings his share of firm's goodwill in cash.

(b) If Z is unable to bring his share of firm's goodwill in cash.

(c) If Z brings only 60% of his share of firm's goodwill in cash.

(Ans: Sacrificing Ratio:- 2:1)

40. A and B are partners sharing profits in the ratio of 3:2. Their books show goodwill at ₹ 2,000. C is admitted with 1/4th share of profits and brings in ₹ 10,000 as his capital but is not able to bring in cash for his share of goodwill ₹ 3,000. Draft Journal entries.

41. On the admission of C, it was agreed that the goodwill of A and B should be valued at ₹ 30,000. C is to get 1/4th share of profits. Previously A and B shared profits in the ratio of 3:2. C cannot bring in any cash. Give Journal entries when in the books of A and B:

(a) there is no Goodwill Account and

(b) Goodwill appears at ₹ 10,000.

Hidden Goodwill

42. A and B are partners with capitals of ₹ 3,000 each. They admit C as a partner with 1/4th share in the profits of the firm. C brings ₹ 4,800 as his share of Capital. The profit & Loss A/c showed a credit balance of ₹ 2,400 as on date of admission of C. Give the necessary journal entry to record goodwill and capital.

(Ans: Hidden Goodwill: ₹ 6,000)

43. A and B are partners in a firm with capital of ₹ 60,000 and ₹ 1,20,000 respectively. They decide to admit C into the partnership for 1/4th share in the future profits. C is to bring in a sum of ₹ 70,000 as his capital. Calculate amount of goodwill.

(Ans: Goodwill: ₹ 30,000)

44. Ajay and Vijay are partners in a firm with fixed capitals of ₹ 3,20,000 and ₹ 2,40,000 respectively. They admitted Sunil as a new partner for 1/4th share in the profits of the firm on 1st April 2023. Sunil brought ₹ 3,20,000 as his share of capital. Calculate value of goodwill and record necessary Journal entries.

(Ans: Hidden Goodwill: ₹ 4,00,000)

45. Isha and Misha are partners in a firm sharing profits in the ratio of 3 : 2 respectively. The fixed capital of Isha is ₹ 4,80,000 and Misha is ₹ 3,00,000. On 01.04.2023 they admitted Lisa as a new partner for 1/5th share in future profits. Lisa brought ₹ 3,00,000 as her capital. Calculate value of goodwill of the firm and record necessary Journal entries on Lisa's admission.

(Ans: Hidden Goodwill: ₹ 4,20,000)

46. A and B are partners in a firm. They admit C as a new partner with 1/5th share in the profits of the firm. C brings ₹ 5,00,000 as his share of capital. The value of the total assets of the firm was ₹ 15,00,000 and outside liabilities were valued at ₹ 5,00,000 on that date. Give necessary Journal entry to record goodwill at the time of C's admission.

(Ans: Dr. C's Capital A/c: ₹ 2,00,000; Cr. A's Capital: ₹ 1,00,000; and B's Capital A/c: ₹ 1,00,000)

47. A and B who share the profits & losses in the ratio of 3:2 are partners with Capitals of ₹ 18,000 and ₹ 12,000. On date of C's admission, there appears P&L A/c (Cr.) balance ₹ 3,600. Reserves ₹ 33,000,

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Advertisement Expenditure (Deferred Revenue) ₹ 600. They admit C as a partner with 1/5th share in the profits of the firm. C brings ₹ 24,000. Give the necessary journal entries on C's admission with regard to capital and goodwill.
(Ans: Sacrificing Ratio: 3:2, Hidden Goodwill: ₹ 30,000)

48. Mr. A commenced business with a capital of ₹ 2,50,000 on 1st April, 2018. During the five years ended 31st March, 2023, the following profits and losses were made:

31st March, 2019—Loss ₹ 5,000
31st March, 2020—Profit ₹ 13,000
31st March, 2021—Profit ₹ 17,000
31st March, 2022—Profit ₹ 20,000
31st March, 2023—Profit ₹ 25,000

During this period, he had drawn ₹ 40,000 for his personal use. On 1st April, 2023, he admitted B into partnership on the following terms:
B to bring for his half share in the business, capital equal to A's Capital on 31st March, 2023 and to pay for the one-half share of goodwill of the business, on the basis of three times the average profit of the last five years. Prepare the statement showing what amount B should invest to become a partner and make entries to record the transactions pertaining to admission.
(Ans: B will have to bring ₹ 2,80,000 as Capital and ₹ 21,000 for Goodwill)

49. Mr. A commenced business with a capital of ₹ 3,00,000 on 1st Jan. 2018. During the five years, the following profits and losses were made: I- Loss ₹ 6,000, II- Profit ₹ 15,600, III- Profit ₹ 20,400, IV- Profit ₹ 24,000, V- Profit ₹ 30,000.
During this period, he had drawn ₹ 48,000 for his personal use. On 1st Jan. 2023, A admitted B into partnership on the following terms: B to bring capital equal to A's Capital for his half share in the business on 1st Jan. 2023 and to pay for one half share of goodwill of the business, valued on the basis of three times the average profits of the last five years.
(Ans: B will bring ₹ 3,36,000 as Capital and ₹ 25,200 for Goodwill)

Reserves and Accumulated Profits/Losses

50. X and Y are partners in a firm sharing profits and losses in the ratio of 3:2. On 1st April, 2023, they admit Z as a new partner for 1/5th share in profits. On that date, there was a balance of ₹ 1,50,000 in General Reserve and a debit balance of ₹ 20,000 in the Profit and Loss Account of the firm. Pass necessary Journal entries regarding adjustment of reserve and accumulated profit/loss.
(Ans: (i) Credit X by ₹ 90,000 and Y by ₹ 60,000; (ii) Debit X by ₹ 12,000 and Y by ₹ 8,000)

51. X and Y were partners in a firm sharing profits and losses in the ratio of 2:1. Z was admitted for 1/3rd share in the profits. On the date of Z's admission, the Balance Sheet of X and Y showed General Reserve of ₹ 2,50,000 and a credit balance of ₹ 50,000 in Profit and Loss Account. Pass necessary Journal entries on the treatment of these items on Z's admission.
(Ans: Credit X by ₹ 2,00,000 and Y by ₹ 1,00,000)

52. Give the journal entry to distribute Workman Compensation Reserve of ₹ 36,000 at the time of admission of Z, when there is no claim against it. The firm has two partners X and Y.
(Ans: Credit X and Y with ₹ 18,000 each)

53. Give the journal entry to distribute Workman Compensation Reserve' of ₹ 36,000 at the time of admission of Z, when there is claim of ₹ 24,000 against it. The firm has two partners X and Y.
(Ans: Credit X and Y with ₹ 6,000 each)

54. Give the journal entry to distribute Investment Fluctuation Reserve of ₹ 2,400 at the time of admission of Z, when Investments (market value ₹ 11,400) appear at ₹ 12,000. The firm has 2 partners X and Y.
(Ans: Credit X and Y with ₹ 900 each)

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55. Give the journal entry to distribute General Reserve of ₹ 2,400 at the time of admission of Z, when 25% of General Reserve is to be transferred to Provision for Doubtful Debts. The firm has two partners X and Y.

(Ans: Credit X and Y with ₹ 900 each)

56. An extract of the Balance Sheet of A & B sharing profits & losses in the ratio of 3:2 is as under:

Liabilities	**₹**	**Assets**	**₹**
General Reserve	3,000	Investments	
Contingencies Reserve	270	(Market Value ₹ 11,400)	12,000
P&LA/c	1,800	Machinery Replacement	
Investment Fluctuation Reserve	900	Fund Investment	600
Workmen's Compensation Reserve	720	Advertisement Expenditure	
Machinery Replacement Fund	600	(Deferred Revenue)	600
Employees' Provident Fund	1,200		

C is admitted for 1/5th share of profits. A claim on account of workmen's compensation is estimated at ₹ 90 only. Pass the necessary journal entries to adjust accumulated profits and losses.

(Ans: Credit for Share in Reserves: A: ₹ 3,600, B: ₹ 2,400, Debit for Share in Losses: A: ₹ 360, B: ₹ 240)

Revaluation of Assets & Liabilities, Preparation of Capital Accounts and Balance Sheet

57. At the time of admission of a new partner, the assets and liabilities were revalued. The following revaluations were made:

(i) A Provision for Doubtful Debts @10% was made on Sundry Debtors (Sundry Debtors ₹ 50,000)
(ii) Creditors were written back by ₹ 5,000.
(iii) Building was appreciated by 20% (Book value of Building ₹ 2,00,000).
(iv) Unrecorded Investments were worth ₹ 15,000.
(v) A Reserve of ₹ 2,000 was made for an Outstanding Bill of repairs.
(vi) Unrecorded Liability towards suppliers was ₹ 3,000.
(vii) Value of Stock and Machinery to be reduced by 10% (Book Value of: Stock ₹ 1,00,000; Machinery ₹ 2,00,000).

Pass necessary Journal entries.

58. X, Y and Z are equal partners with capitals of ₹ 1,500; ₹ 1,750 and ₹ 2,000 respectively. They agree to admit W into equal partnership upon payment in cash of ₹ 1,500 for 1/4th share of the goodwill and ₹ 1,800 as his capital, both sums to remain in the business. The liabilities of the old firm amounted to ₹ 3,000 and the assets, apart from cash, consists of Motor car ₹ 1,200, Furniture ₹ 400, Stock ₹ 2,650 and Debtors ₹ 3,780. The Motor car and Furniture were revalued at ₹ 950 and ₹ 380 respectively.

Draft Journal entries to give effect to the above arrangement and also show Balance Sheet of the new firm.

(Ans: Loss on Revaluation: ₹ 270, Balance Sheet Total: ₹ 11,280)

59. A and B were partners in a firm with capital of ₹ 72,000 and ₹ 96,000 respectively. They admitted C as a partner for 1/4th share in profits on his payment of ₹ 1,20,000 as his capital and ₹ 54,000 for his share of goodwill.

On the date of admission, the creditors of A and B were ₹ 36,000 and Bank overdraft was ₹ 9,000. Their assets apart from cash included Stock ₹ 6,000; Debtors ₹ 24,000; Plant and Machinery ₹ 48,000; Land and Building ₹ 1,20,000. It was agreed that Stock should be depreciated by ₹ 1,200; Plant and Machinery by 20%, ₹ 3,000 should be written off as bad debts and Land and Building should be appreciated by 25%.

Prepare the Revaluation Account, Capital Accounts of Partners and the Balance Sheet of the new firm.

(Ans: Profit on Revaluation: ₹ 16,200, Capital A/c Balances: A: ₹ 1,07,100, B: ₹ 1,31,100, C: ₹ 1,20,000, B/S Total: ₹ 4,03,200)

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60. Following was the Balance Sheet of A and B who were sharing profits in the ratio of 2:1 as at 31st March, 2023:

Liabilities		₹	Assets	₹
Capital A/cs:			Building	25,000
A	15,000		Plant and Machinery	17,500
B	10,000	25,000	Stock	10,000
Sundry Creditors		32,950	Sundry Debtors	4,850
			Cash in Hand	600
		57,950		**57,950**

They agree to admit C into the partnership on the following terms:

(a) C was to bring in ₹ 7,500 as his capital and ₹ 3,000 as goodwill for 1/4th share in the firm.
(b) Values of the Stock and Plant and Machinery were to be reduced by 5%.
(c) A reserve was to be created in respect of Sundry Debtors ₹ 375.
(d) Building Account was to be appreciated by 10%.

Pass necessary Journal entries to give effect to the arrangements. Prepare Profit and Loss Adjustment Account (or Revaluation Account), Capital Accounts and Balance Sheet of the new firm.

(Ans: Revaluation Profit: ₹ 750; Capital A/c's: A: ₹ 17,500; B: ₹ 11,250; C: ₹ 7,500; Balance Sheet Total: ₹ 69,200)

61. A, B and C are partners sharing profits and losses in the ratio of 3:2:1 respectively. Their Balance Sheet as at 31st March, 2023 is as follows:

Liabilities		₹	Assets	₹
Capital A/cs:			Land and Building	50,000
A	60,000		Plant and Machinery	40,000
B	60,000		Furniture	30,000
C	40,000	1,60,000	Stock	20,000
Creditors		30,000	Debtors	30,000
Bills Payable		10,000	Bills Receivable	20,000
			Bank	10,000
		2,00,000		**2,00,000**

D is admitted as a new partner on 1st April, 2023 for an equal share and is to pay ₹ 50,000 as capital.

Following are the adjustments required on D's admission:

(a) Out of the Creditors, a sum of ₹ 10,000 was due to D which will be transferred to his capital.
(b) Advertisement Expenses of ₹ 1,200 are to be carried forward to next accounting period.
(c) Expenses debited in the Profit and Loss Account includes a sum of ₹ 2,000 paid for B's personal expenses.
(d) A Bill of Exchange of ₹ 4,000 which was previously discounted with the banker, was dishonoured on 31st March, 2023 but no entry has been passed for that.
(e) A Provision for Doubtful Debts at 5% is to be created against Debtors.
(f) Expenses on Revaluation amounted to ₹ 2,100 is paid by A.

Prepare necessary Ledger Accounts and Balance Sheet after D's admission.

(Ans: Loss on Revaluation: ₹ 600; Partners' Capital Accounts: A: ₹ 61,800; B: ₹ 57,800; C: ₹ 39,900; D: ₹ 50,000; Balance Sheet Total: ₹ 2,39,500)

62. A and B are partners in a firm sharing profits and losses in the ratio of 2:1 respectively. On 31st March, 2023, their Balance Sheet stood as follows:

Liabilities	₹	Assets	₹
A's Capital	1,60,000	Buildings	80,000
B's Capital	1,20,000	Furniture	24,000
General Reserve	96,000	Stock	48,000
Creditors	64,000	Debtors	2,40,000
		Cash at Bank	48,000
	4,40,000		**4,40,000**

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It was decided to admit C into the firm with effect from 1st April, 2023 subject to the following terms and conditions;

(a) C will bring in ₹ 84,000 of which ₹ 36,000 will be treated as his share of goodwill to be retained in the business.
(b) C will be entitled to 1/4th share of the profits.
(c) ₹ 9,000 is to be provided for Doubtful Debts.
(d) Depreciation on Furniture is to be provided @ 5%.
(e) Stock is to be revalued at ₹ 42,000.

You are required to prepare necessary Ledger Accounts and Balance Sheet of the firm after the admission of C from the above information.

(Ans: Loss on revaluation: ₹ 16,200; Capital Account: A: ₹ 2,37,200; B: ₹ 1,58,600; C: ₹ 48,000; Balance Sheet Total: ₹ 5,07,800; Bank Balance: ₹ 1,32,000)

63. Sachin and Saurav were in partnership business sharing profits and losses in the ratio of 2:3 respectively. Their Balance Sheet as at 31st March, 2023 was:

Liabilities		**₹**	**Assets**	**₹**
Sundry Creditors		12,435	Cash in Hand	710
capital A/cs:			Cash at Bank	11,925
Sachin	34,050		Sundry Debtors	5,500
Saurav	34,050	68,100	Stock	18,000
			Furniture	4,400
			Building	40,000
		80,535		**80,535**

On 1st April, 2023 they admitted Rahul into partnership for 1/3rd share in the future profits on the following terms:

(a) Rahul is to bring in ₹ 30,000 as his capital and ₹ 20,000 as goodwill, which sum is to remain in the business.
(b) Stock and Furniture are to be reduced in value by 10%.
(c) Building is to be appreciated by ₹ 15,000.
(d) Provision of 5% is to be made on Sundry Debtors for Doubtful Debts.

Show Profit and Loss Adjustment Account (Revaluation Account), Capital Accounts of Partners and opening Balance Sheet of the new firm.

(Ans: Revaluation Profit: ₹ 12,485; Capital A/c's: Sachin: ₹ 47,044; Saurav: ₹ 53,541; Rahul: ₹ 30,000; Balance Sheet Total: ₹ 1,43,020)

64. X and Y share profits in the ratio of 5:3. Their Balance Sheet as at 31st March, 2023 was:

Liabilities		**₹**	**Assets**		**₹**
Creditors		15,000	Sundry Debtors	20,000	
Employees' Provident Fund		10,000	Less: Provision B/D	600	19,400
Workmen Comp. Reserve		5,800	Stock		25,000
Capital A/cs:			Land and Building		5,000
X	70,000		Fixed Assets		80,000
Y	31,000	1,01,000	Profit and Loss A/c		2,400
		1,31,800			**1,31,800**

They admit Z into partnership with 1/8th share in profits on this date. Z brings ₹ 20,000 as his capital and ₹ 12,000 for goodwill in cash. Z acquires his share entirely from X. Following revaluations are also made:

(a) Employees' Provident Fund is to be increased by ₹ 5,000.
(b) All Debtors are good. Therefore, no provision is required on Debtors.
(c) Stock includes ₹ 3,000 for obsolete items.
(d) Creditors are to be paid ₹ 1,000 more.
(e) Fixed Assets are to be revalued at ₹ 70,000.

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Prepare Journal entries, necessary accounts and new Balance Sheet. Also, calculate new profit-sharing ratio.

(Ans: Loss on Revaluation: ₹ 18,400; Capitals: X: ₹ 72,625; Y: ₹ 25,375; Z: ₹ 20,000; Balance Sheet Total: ₹ 1,49,000; New Ratio: 4 :3 :1)

65. X and Y are partners sharing profits and losses equally. Their Balance Sheet as on 31st March, 2023 is given below:

Liabilities		**₹**	**Assets**		**₹**
Capital A/cs:			Land and Building		1,50,000
X	1,50,000		Plant and Machinery		1,00,000
Y	1,00,000	2,50,000	Furniture and Fittings		25,000
Current A/cs:			Stock		75,000
X	40,000		Debtors	75,000	
Y	30,000	70,000	Less: Provision for DD	5,000	70,000
Creditors		1,30,000	Bills Receivable		30,000
Bills Payable		50,000	Bank		50,000
		5,00,000			**5,00,000**

Z is admitted as a new partner for 1/4th share under the following terms;

(a) Z is to introduce ₹ 1,25,000 as capital.
(b) Goodwill of the firm was valued at nil.
(c) It is found that the creditors included a sum of ₹ 7,500 which was not to be paid. But it was also found that there was a liability for Compensation to Workmen amounting to ₹ 10,000.
(d) Provision for doubtful debts is to be created @ 10% on debtors.
(e) In regard to the Partners' Capital Accounts, present fixed capital method is to be converted into fluctuating capital method.
(f) Bills of ₹ 20,000 accepted from creditors were not recorded in the books.
(g) X provides ₹ 50,000 loan to the business carrying Interest @ 10% p.a.

You are required to prepare Revaluation Account, Partners' Capital Accounts, Bank Account and the Balance Sheet of the new firm.

(Ans: Loss on Revaluation: ₹ 5,000; Partners' Current A/c's: X: ₹ 37,500; Y: ₹ 27,500; Partners' Capital A/c's: X: ₹ 1,87,500; Y: ₹ 1,27,500; Z: ₹ 1,25,000; Balance Sheet Total: ₹ 6,72,500)

66. A and B share profits and losses equally. The following is the Balance Sheet of A and B as on 31.03.2023:

Liabilities		**₹**	**Assets**	**₹**
Investment Fluctuation Reserve		2,000	Cash	35,000
Workmen Comp. Reserve		5,000	Debtors	15,000
Bills Payable		23,000	Investments	20,000
Capital Accounts:			Fixtures	10,000
A	40,000		Goodwill	20,000
B	30,000	70,000		
		1,00,000		**1,00,000**

On the same date, they agree to admit C for 1/7th share in future profits. For this purpose, following adjustments are agreed upon:

(a) C is to bring ₹ 30,000 as capital and ₹ 10,000 as goodwill.
(b) Market value of Investment is ₹ 15,000.
(c) Claim on Account of Workmen Compensation Fund is ₹ 3,000.
(d) Goodwill is not to appear in new firm at all.
(e) Debtors are to be revalued at ₹ 10,000.

You are required to prepare Revaluation Account, Partners' Capital Accounts and the Balance Sheet of A, B and C.

(Ans: Revaluation Loss: ₹ 8,000; Capitals: A: ₹ 32,000; B: ₹ 22,000; C: ₹ 30,000; Total of Balance Sheet: ₹ 1,10,000)

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67. Rajesh and Ravi are partners sharing profits in the ratio of 3:2. Their Balance Sheet at 31st March, 2023 stood as:

Liabilities		₹	Assets		₹
Creditors		38,500	Cash		2,000
Outstanding Rent		4,000	Stock		15,000
Capital A/cs:			Prepaid insurance		1,500
Rajesh	29,000		Debtors	9,400	
Ravi	15,000	44,000	Less: Provision for Doubtful Debts	400	9,000
			Machinery		19,000
			Building		35,000
			Furniture		5,000
		86,500			**86,500**

Raman is admitted as a new partner introducing a capital of ₹ 16,000. The new profit-sharing ratio is decided as 5:3:2. Raman is unable to bring in any cash for goodwill. So, it is decided to value the goodwill on the basis of Raman's share in the profits and the capital contributed by him. Following revaluations are made:

(a) Stock to depreciate by 5%; (b) Provision for Doubtful Debts is to be ₹ 500; (c) Furniture to depreciate by 10%; (d) Building is valued at ₹ 40,000.

Show necessary Ledger Accounts and Balance Sheet of new firm.

(Ans: Profit on Revaluation: ₹ 3,650; Capital Accounts: Rajesh: ₹ 32,825; Ravi: ₹ 18,095; Raman: ₹ 12,730; Balance Sheet Total: ₹ 1,06,150; Hidden Goodwill: ₹ 16,350)

68. A and B are partners in a firm in the ratio of 3:2. They admit C as a partner on 1st April, 2023 on which date the Balance Sheet of the firm was:

Liabilities		₹	Assets	₹
Capital A/cs:			Building	50,000
A	60,000		Plant and Machinery	30,000
B	40,000	1,00,000	Stock	20,000
Creditors		20,000	Debtors	10,000
			Bank	10,000
		1,20,000		**1,20,000**

You are required to prepare the Revaluation Account, Partners' Capital Accounts and Balance Sheet of the new firm after considering the following:

(a) C brings in ₹ 30,000 as capital for 1/4th share. He also brings ₹ 10,000 for his share of goodwill.
(b) Part of the Stock which had been included at cost of ₹ 2,000 had been badly damaged in storage and could only expect to realize ₹ 400.
(c) Bank charges had been overlooked and amounted to ₹ 200 for the year 2022-23.
(d) Depreciation on Building of ₹ 3,000 had been omitted for year 2022-23.
(e) A credit for goods for ₹ 800 had been omitted from both purchases and creditors although the goods had been correctly included in Stock.
(f) A charge of ₹ 1,200 for insurance premium was debited in the Profit and Loss Account of 2022-23 but ₹ 600 of this applied to the period after 31st March, 2023.

(Ans: Loss on Revaluation: ₹ 5,000; Partners' Capital Accounts: A: ₹ 63,000; B: ₹ 42,000; C: ₹ 30,000; Balance Sheet Total: ₹ 155,800)

69. The Balance Sheet of A and B as at 31st March 2023 was:

Liabilities		₹	Assets	₹
Capital A/cs;			Goodwill	10,000
A	86,000		Land and Building	60,000
B	64,000	1,50,000	Plant and Machinery	70,000
General Reserve		20,000	Stock	36,000
Sundry Creditors		31,200	Sundry Debtors	20,000

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		Cash at Bank	4,000
		Cash in Hand	1,200
	2,01,200		**2,01,200**

A and B are in partnership sharing profits and losses in the ratio of 3:2. On 1st April, 2023, they admitted C into partnership. He paid ₹ 50,000 as his capital but no amount was brought towards goodwill which was valued at ₹ 40,000 for the firm. He acquired 1/5th share in the profits, equally from both partners. It was also decided that:

(a) Land and Building be written off by ₹ 20,000.
(b) Stock be written down by ₹ 3,200.
(c) A Provision of ₹ 1,000 be created for Doubtful Debts.
(d) An amount of ₹ 1,200 included in Sundry Creditors, be written back as it is no longer payable.

Prepare Revaluation Account, Partners' Capital Accounts and Balance Sheet of the new firm.

(Ans: Loss on Revaluation: ₹ 23,000; Capital A/c's: A: ₹ 82,200; B: ₹ 62,800; C: ₹ 42,000; Balance Sheet Total: ₹ 2,17,000)

70. P and S were partners in a firm sharing profits in the ratio of 3:2. Their Balance Sheet on 31.3.2023 was as follows:

Liabilities		**₹**	**Assets**	**₹**
Bank Overdraft		20,000	Cash	8,000
Creditors		30,000	Debtors	30,000
Provision for Bad Debts		1,000	Bills Receivable	40,000
General Reserve		15,000	Stock	50,000
V's Loan		20,000	Buildings	90,000
Capital Accounts:			Land	1,48,000
P	1,00,000			
S	1,80,000	2,80,000		
		3,66,000		**3,66,000**

On 01.04.2023 they admitted V as a new partner on the following conditions:

(a) V will get 1/8th share in the profits of the firm.
(b) V's Loan will be converted into his capital.
(c) The Goodwill of the firm was valued at ₹ 80,000 and V brought his share of goodwill premium in cash.
(d) Provision for Bad Debts was to be made equal to 5% of the Debtors.
(e) Stock was to be decreased by 5%.
(f) Land was to be appreciated by 10%.

Prepare Revaluation Account, Capital Accounts of P, S and V and the Balance Sheet of the new firm as on 01.04.2023.

(Ans: Profit on Revaluation: ₹ 11,800; Capital A/c's: P: ₹ 1,22,080; S: ₹ 1,94,720; V: ₹ 20,000; Total of Balance Sheet: ₹ 3,88,300)

71. A and B are partners in a firm. The net profit of the firm is divided as follows: 1/2 to A, 1/3 to B and 1/6 carried to a Reserve. They admit C as a partner on 1st April, 2023 on which date, the Balance Sheet of the firm was:

Liabilities		**₹**	**Assets**	**₹**
Capital A/cs:			Building	50,000
A	50,000		Plant and Machinery	30,000
B	40,000	90,000	Stock	18,000
Reserve		10,000	Debtors	22,000
Creditors		20,000	Bank	5,000
Outstanding Expenses		5,000		
		1,25,000		**1,25,000**

Following are the required adjustments on admission of C:

(a) C brings in ₹ 25,000 towards his capital.
(b) C also brings in ₹ 5,000 for 1/5th share of goodwill.
(c) Stock is undervalued by 10%.
(d) Creditors include a contingent liability of ₹ 4,000, which has been decided by the court at ₹ 3,200.
(e) In regard to the Debtors, the following Debts proved Bad or Doubtful—

₹ 2,000 due from X—bad to the full extent;

₹ 4,000 due from Y—insolvent, estate expected to pay only 50%.

You are required to prepare Revaluation Account, Partners' Capital Accounts and Balance Sheet of the new firm.

(Ans: Loss on Revaluation: ₹ 1,200; Partners' Capital Accounts: A: ₹ 58,280; B: ₹ 45,520; C: ₹ 25,000; Balance Sheet Total: ₹ 1,53,000)

72. A and B are partners in a firm sharing profits and losses in the ratio of 3:2. Following is their Balance Sheet as at 31st March, 2023:

Liabilities		**₹**	**Assets**	**₹**
Capital A/cs:			Building	35,000
A	50,000		Machinery	25,000
B	30,000	80,000	Stock	15,000
Creditors		20,000	Debtors	15,000
			Investments	5,000
			Bank	5,000
		1,00,000		**1,00,000**

C is admitted as a partner on 1st April, 2023 on the following terms:

(a) C is to pay ₹ 20,000 as capital for 1/4th share. He also pays ₹ 5,000 as premium for goodwill.
(b) Debtors amounted to ₹ 3,000 is to be written off as bad and a Provision of 10% is created against Doubtful Debts on the remaining amount.
(c) No entry has been made in respect of a debt of ₹ 300 recovered by A from a customer, which was previously written off as bad in previous year. The amount is to be paid by A.
(d) Investments are taken over by B at their market value of ₹ 4,900 against cash payment.

You are required to prepare Revaluation Account, Partners' Capital Accounts and new Balance Sheet.

(Ans: Loss on Revaluation: ₹ 4,000; Partners' Capital A/c's: A: ₹ 50,300; B: ₹ 30,400; C: ₹ 20,000; Balance Sheet Total: ₹ 1,20,700)

73. X and Y are partners sharing profits and losses in the ratio of 5:3. Their Balance Sheet as at 31st March, 2023 is:

Liabilities		**₹**	**Assets**		**₹**
Capital A/cs:			Furniture		40,000
X	40,000		Patents		10,000
Y	50,000	90,000	Sundry Debtors	44,000	
General Reserve		14,000	Less: Provision for BD	5,000	39,000
Sundry Creditors		30,000	Stock		20,000
			Cash at Bank		22,000
			Cash in Hand		3,000
		1,34,000			**1,34,000**

On 1st April, 2023, they take Z into the partnership on the following terms:

(a) Z brings in ₹ 25,000 as his capital but cannot bring in ₹ 3,600 as his share of goodwill.
(b) Patents are written off from the books.
(c) General Reserve will appear in the books of the new firm at its original figure.
(d) A Provision for Doubtful Debts is to be maintained @ 5% on Sundry Debtors.
(e) The new profit-sharing ratio of X, Y and Z is 2:4:1.

You are required to show Revaluation Account, Partners' Capital Accounts and Balance Sheet of the new firm.

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(Ans: Loss on Revaluation: ₹ 7,200; Partners' Capital A/c's: X: ₹ 48,800; Y: ₹ 39,600; Z: ₹ 19,400; Balance Sheet Total: ₹ 1,51,800; Goodwill adjustment: Dr. Y: ₹ 4,950 and Z: ₹ 3,600; Cr. X: ₹ 8,550)

74. X and Y are partners sharing profits and losses in the ratio of 3/4 and 1/4. Their Balance Sheet as at 31st March, 2023 is:

Liabilities		₹	Assets	₹
Capital A/cs:			Land and Building	1,25,000
X	1,50,000		Office Furniture	5,000
Y	80,000	2,30,000	Stock	1,00,000
Workmen Comp. Reserve		20,000	Sundry Debtors	80,000
Sundry Creditors		1,50,000	Bills Receivable	15,000
Bills Payable		37,500	Cash at Bank	1,00,000
			Cash in Hand	12,500
		4,37,500		**4,37,500**

They admit Z into partnership on 1st April, 2023 on the following terms;

(a) The goodwill is to be valued at ₹ 1,00,000.
(b) Stock and Furniture to be reduced by 10%.
(c) A Provision for Doubtful Debts is to be created @ 5% on Sundry Debtors.
(d) The value of Land and Building is to be appreciated by 20%.
(e) No compensation is payable to workmen.
(f) Z pays ₹ 50,000 as his capital for 1/5th share in the future profits.

You are required to show Revaluation Account, Partners' Capital Accounts and Balance Sheet of the new firm.

(Ans: Profit on Revaluation: ₹ 10,500; Partners' Capital A/c's: X: ₹ 1,87,875; Y: ₹ 92,625; Z: ₹ 30,000; Balance Sheet Total: ₹ 4,98,000)

Adjustment of Capitals

75. Following is the Balance Sheet of A and B as at 31st March, 2023:

Liabilities		₹	Assets		₹
Creditors		13,000	Bank		15,000
Employees' Provident Fund		8,000	Debtors	22,000	
Workmen's Compensation Fund		15,000	Less: Provision for		
			Doubtful Debts	1,000	21,000
Capital A/cs:			Stock		10,000
A	55,000		Plant and Machinery		60,000
B	30,000	85,000	Goodwill		10,000
			Profit and Loss		5,000
		1,21,000			**1,21,000**

C was admitted as a partner for 1/4 share in the profits of firm. It was decided that:

(a) Bad Debts amounted to ₹ 1,500 will be written off.
(b) Stock worth ₹ 8,000 was taken over by A and B at Book Value in their profit-sharing ratio. The remaining stock was valued at ₹ 2,500.
(c) Plant and Machinery and Goodwill were valued at ₹ 32,000 and ₹ 20,000 respectively.
(d) C brought his share of goodwill in cash.
(e) C will bring proportionate capital and the capitals of A and B will be adjusted in their profit-sharing ratio by bringing in or paying off cash as the case may be.

Prepare Revaluation Account and Partners' Capital Accounts.

(Ans: Loss on Revaluation: ₹ 28,000; Partners' Capital A/c's: A: ₹ 27,000; B: ₹ 27,000; C: ₹ 18,000; Balance Sheet: ₹ 93,000)

76. A and B were carrying on business in partnership sharing profits in the ratio of 3:2 respectively. Their Balance Sheet as at 31st March, 2023 was:

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Liabilities	₹	Assets		₹
A's Capital	50,000	Land and Building		25,000
B's Capital	25,000	Furniture		10,000
Creditors	16,000	Stock		46,000
Bills Payable	14,000	Debtors	20,000	
		Less: Provision for DD	600	19,400
		Cash at Bank		4,600
	1,05,000			**1,05,000**

C is admitted into partnership on the following terms:

(a) New profit-sharing ratio of A, B and C will be 5:3:2.
(b) Land and Building is to be appreciated by ₹ 5,000; Furniture is to be depreciated by 10%, Provision for Doubtful Debts is to be increased by ₹ 300 and Outstanding Expenses of ₹ 200 are to be recorded.
(c) C will bring ₹ 20,000 as his capital and ₹ 6,000 as his share of goodwill.
(d) The capitals of all the partners will be in their profit-sharing ratio; A and B making the necessary adjustments in cash.

Prepare Revaluation Account, Partners' Capital Accounts and Balance Sheet immediately after recording the above-mentioned transactions.

(Ans: Profit on Revaluation: ₹ 3,500; Capital A/c's: A: ₹ 50,000; B: ₹ 30,000; C: ₹ 20,000; Balance Sheet Total: ₹ 1,30,200)

77. A, B and C are partners sharing profits and losses in the ratio of 2:3:5. On 31st March, 2023, their Balance Sheet was:

Liabilities		₹	Assets	₹
Creditors		64,000	Cash at Bank	18,000
Employees' Provident Fund		32,000	Bills Receivable	24,000
Profit and Loss A/c		14,000	Furniture	28,000
Capital A/cs:			Stock	44,000
A	36,000		Debtors	42,000
B	44,000		Investments	32,000
C	52,000	1,32,000	Machinery	34,000
			Goodwill	20,000
		2,42,000		**2,42,000**

They admit D into partnership on the following terms:

(a) Furniture, Investments and Machinery to be depreciated by 15%.
(b) Stock is revalued at ₹ 48,000.
(c) Goodwill to be valued at ₹ 24,000.
(d) Employees' Provident Fund is to be increased by ₹ 1,800.
(e) Prepaid Salaries ₹ 800.
(f) D to bring in ₹ 36,000 towards capital for 1/6th share and Partners to readjust their Capital Accounts on the basis of their profit-sharing ratio.
(g) D is not in a position to bring in any amount for his share of firm's goodwill. The partners decide that the necessary adjustments should be made through D's Current Account.

Prepare Revaluation Account, Partners' Capital Accounts, Bank Account and Balance Sheet of the new firm.

(Ans: Loss on Revaluation: ₹ 11,100; Partners' Capital Accounts: A: ₹ 36,000; B: ₹ 54,000; C: ₹ 90,000; D: ₹ 36,000, A will bring ₹ 2,620; B will bring ₹ 13,930 and C will bring ₹ 44,550 in Cash. Cash at Bank: ₹ 115,100; Balance Sheet Total: ₹ 3,13,800)

78. A and B were partners in a firm sharing profits in 3:1 ratio, they admitted C as a partner for 1/4th share in the future profit C was to bring—₹ 60,000 for his capital. The Balance Sheet of A and B at 1st April, 2023, the date on which C was admitted, was:

Liabilities	₹	Assets	₹

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Capital A/cs:			Land and Building		40,000
A	50,000		Plant and Machinery		70,000
B	80,000	1,30,000	Stock		30,000
General Reserve		10,000	Debtors	35,000	
Creditors		70,000	Less: Provision for DD	1,000	34,000
			Investments		26,000
			Cash		10,000
		2,10,000			**2,10,000**

The other terms agreed upon were:

(a) Goodwill of the firm was valued at ₹ 24,000.
(b) Land and Building were valued at ₹ 65,000 and Plant and Machinery at ₹ 60,000.
(c) Provision for Doubtful Debts was found in excess by ₹ 400.
(d) A liability of ₹ 1,200 included in Sundry Creditors was not likely to arise.
(e) The capitals of the partners to be adjusted on the basis of C's contribution of capital to the firm.
(f) Excess or shortfall, if any, to be transferred to Current Accounts.

Prepare Revaluation Account, Partners' Capital Accounts and Balance Sheet of the new firm.

(Ans: Profit on Revaluation: ₹ 16,600; New Ratio of A, B, C: 9:3:4; Partners' Capital Accounts: A: ₹ 1,35,000; B: ₹ 45,000 and C: ₹ 60,000; Balance Sheet Total: ₹ 3,51,950)

79. X and Y are partners sharing profits in the ratio of 2:1. Their Balance Sheet as at 31st March, 2023 was:

Liabilities		**₹**	**Assets**	**₹**
Sundry Creditors		25,000	Cash/Bank	5,000
General Reserve		18,000	Sundry Debtors	15,000
Capital A/cs:			Stock	10,000
X	75,000		Investments	8,000
Y	62,000	1,37,000	Typewriter	5,000
			Fixed Assets	1,37,000
		1,80,000		**1,80,000**

They admit Z into partnership on the same date on the following terms:

(a) Z brings in ₹ 40,000 as his capital and he is given 1/4th share in profits.
(b) Z brings in ₹ 15,000 for goodwill, half of which is withdrawn by old partners.
(c) Investments are valued at ₹ 10,000. X takes over Investments at this value.
(d) Typewriter is to be depreciated by 20% and Fixed Assets by 10%.
(e) An unrecorded stock of Stationery on 31st March, 2019 is ₹ 1,000.
(f) By bringing in or withdrawing cash, the Capitals of X and Y are to be made proportionate to of Z on their profit-sharing basis.

Pass Journal entries, prepare Revaluation Account, Capital Accounts and new Balance Sheet of the firm.

(Ans: Loss on Revaluation: ₹ 11,700; Capital A/c's: X: ₹ 80,000; Y: ₹ 40,000; Z: ₹ 40,000; Cash/Bank balance: ₹ 31,700; Balance Sheet Total: ₹ 1,85,000; X brings in: ₹ 5,800; Y withdraws: ₹ 26,600)

80. X and Y are partners in a firm. They share profits and losses as X—3/5th and Y—2/5. Their Balance Sheet as on 1st April, 2023 is given below:

Liabilities		**₹**	**Assets**		**₹**
Creditors		2,60,000	Land and Building		3,00,000
Bills Payable		2,40,000	Plant and Machinery		4,00,000
Capitals A/cs:			Patents		1,60,000
X	7,00,000		Stock		2,50,000
Y	3,50,000	10,50,000	Debtors	3,00,000	
			Less: Provision for Doubtful Debts	6,000	2,94,000
			Cash at Bank		1,46,000
		15,50,000			**15,50,000**

They agree to admit Z into partnership on the following basis:

(a) Z will pay ₹ 3,00,000 as capital and the Capital Accounts of other partners to be adjusted in their new profit-sharing ratio on the basis of Z's Capital.
(b) Goodwill of the firm is valued at ₹ 2,50,000. Z fails to bring his share of goodwill.
(c) Plant and Machinery is to be depreciated by 15%, stock by ₹ 40,000, land and buildings are to be appreciated by ₹ 1,60,000.
(d) New profit-sharing ratio will be 5 : 3 : 2.

Prepare new Balance Sheet of the firm and Capital Accounts of the Partners.

(Ans: Sacrificing Ratio:- 1:1; Revaluation Profit: ₹60,000; Partners' Capital Accounts: X: ₹ 7,50,000; Y: ₹ 4,50,000 and Z: ₹ 3,00,000; Z's Current A/c: ₹ 50,000 (Dr.); Cash Balance at Bank: ₹ 4,86,000; Balance Sheet Total: ₹ 20,00,000)

81. Suresh and Ramesh were partners in a firm sharing profits in the ratio of 5:3. On 31.03.2023 they admitted Dinesh as a new partner for 1/5th share in the profits. The new profit-sharing ratio was 5:3:2. On Dinesh's admission the Balance Sheet of the firm was as follow:

Liabilities		**₹**	**Assets**	**₹**
Capitals:			Land and Building	1,50,000
Suresh:	1,50,000		Machinery	40,000
Ramesh:	90,000	2,40,000	Patents	5,000
Provision for bad debts		1,200	Stock	27,000
Creditors		20,000	Debtors	47,000
Workmen Comp. Fund		32,000	Cash	4,200
			Profit and Loss Account	20,000
		2,93,200		**2,93,200**

On Dinesh's admission it was agreed that:

(a) Dinesh will bring ₹ 40,000 as his capital and ₹ 16,000 for his share of goodwill premium, half of which was withdrawn by Suresh and Ramesh;
(b) A provision of 2.5% for bad and doubtful debts was to be created;
(c) Included in the sundry creditors was an item of ₹ 2,500 which was not to be paid.
(d) A provision was to be made for an outstanding bill for electricity ₹ 3,000.
(e) A claim of ₹ 325 for damages against the firm was likely to be admitted. Provision for the same was to be made.

After the above adjustments, the capitals of Suresh and Ramesh were to be adjusted on the basis of Dinesh's capital. Actual cash was to be brought in or to be paid off to Suresh and Ramesh as the case may be. Prepare Revaluation Account, Capital Accounts of the partners and the Balance Sheet of the new firm.

(Ans: Revaluation loss: ₹ 800; Partners' Capital: Suresh: ₹ 1,00,000, Ramesh: ₹ 60,000 and Dinesh: ₹ 40,000; Total of Balance Sheet: ₹ 2,67,825)

82. A firm has two partners X and Y, sharing profits in the ratio of 3:2. They admit Z into the firm on 1st Jan 2023, when the Balance Sheet of the firm was as follows:

Liabilities	**₹**	**Assets**	**₹**
X's Capital	3,00,000	Fixed Assets	3,60,000
Y's Capital	1,00,000	Investments	90,000
General Reserve	75,000	Debtors	40,000
Creditors	70,000	Stock	60,000
Bills Payable	25,000	Cash	20,000
	5,70,000		**5,70,000**

Terms of admission are as follows: -

(a) Z is to bring ₹ 2,00,000 as his capital for a third share in future profits and ₹ 35,000 as his share of goodwill.
(b) Value of Fixed Assets and Stock are to be reduced by 20% and ₹ 10,000 respectively.

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(c) Capital of the partners shall be proportionate to their profit-sharing ratio, taking Z's Capital as base. Excess capital is to withdrawn in cash by the partner concerned and the deficiency is to be made up by bringing in cash.

Prepare Partners' Capital Accounts and the Balance Sheet of the firm after the above adjustments.

(Ans: Loss on Revaluation: ₹ 82,000; Capitals: X: ₹ 2,40,000; Y: ₹ 1,60,000 and Z: ₹ 2,00,000; Total of Balance Sheet: ₹ 6,95,000)

83. Mohan and Sohan are in partnership sharing profits in the proportion of 3/5th and 2/5th respectively. They decide to admit Rohan for 1/3rd share upon the terms that he is to pay into the business ₹ 1,000 as Goodwill and sufficient Capital to give him a 1/3rd share of the total capital of the new firm. It was agreed that the Reserve for Bad Debts be reduced to ₹ 100 and the Stock be revalued at ₹ 2,000 and that the Plant be reduced to ₹ 500. Their Balance Sheet as at 31st March, 2023 was:

Liabilities	**₹**	**Assets**		**₹**
Mohan's Capital	2,000	Plant		650
Sohan's Capital	1,000	Cash		650
Creditors	400	Debtors	1,000	
		Less: Prov. for B/Debts	400	600
		Stock		1,500
	3,400			**3,400**

You are required to record the above in the Ledgers of the firm and show new Balance Sheet.

(Ans: Balance Sheet Total: ₹ 7,375; Revaluation Profit: ₹ 650)

84. A and B are partners in a firm sharing profits and losses in the ratio 3:1. They admit C for 1/4th share on 31st March, 2023 when their Balance Sheet was as follows:

Liabilities	**₹**	**Assets**		**₹**
Employees' Provident Fund	17,000	Cash		6,100
Workmen Comp. Reserve	6,000	Stock		15,000
Investment Fluctuation Reserve	4,100	Debtors	50,000	
Capital A/cs: A	54,000	Less: Provision for Doubtful Debts	2,000	48,000
B	35,000	Investments		7,000
		Goodwill		40,000
	1,16,100			**1,16,100**

The following adjustments were agreed upon:

(a) C brings in ₹ 16,000 as goodwill and proportionate capital.
(b) Bad debts amounted to ₹ 3,000,
(c) Market value of investment is ₹ 4,500.
(d) Liability on account of workmen compensation reserve amounted to ₹ 2,000.

Prepare Revaluation A/c and Partners' Capital Accounts.

(Ans: Loss on Revaluation: ₹ 1,000; Capital A/c's: A: ₹39,450; B: ₹ 30,150; C: ₹ 23,200; Balance Sheet: ₹ 1,11,800)

85. Raman and Karan were partners in a firm sharing profits in the ratio of 3:1. Their Balance Sheet on 31st March, 2023 was:

Liabilities		**₹**	**Assets**		**₹**
Creditors		30,000	Cash		4,000
Bills Payable		1,000	Debtors	50,000	
Reserve Fund		16,000	Less: Provision for DD	5,000	45.000
Outstanding Salary		3,000	Stock		30,000
Capital A/cs:			Bills Receivable		10,000
Raman	60,000		Patents		1000
Karan	20,000	80,000	Machinery		40,000
		1,30,000			**1,30,000**

They admitted Abhay as a new partner on this date. New profit-sharing ratio is agreed as 3:2:3. Abhay brings in proportionate capital after the following adjustments:

(a) Abhay brings ₹ 16,000 as his share of goodwill.
(b) Provision for Doubtful Debts is to be reduced by ₹ 2,000.
(c) There is an Old Typewriter valued at ₹ 2,400. It does not appear in the books of the firm. It is now to be recorded.
(d) Patents are valueless.

Prepare Revaluation Account, Capital Accounts and opening Balance Sheet of Raman, Karan and Abhay.

(Ans: Profit on Revaluation: ₹ 3,400; Balance Sheet Total: ₹ 2,18,640; Cash brought by Abhay: ₹ 69,240 + ₹ 16,000 (Goodwill) = ₹ 85,240)

86. Following is the Balance Sheet of X and Y as at 31st March, 2023, Z is admitted as a partner at that date when the position of X and Y was:

Liabilities	**₹**	**Assets**	**₹**
X's Capital	10,000	Cash in Hand	9,000
Y's Capital	8,000	Debtors	11,000
Creditors	12,000	Stock	12,000
General Reserve	16,000	Building	8,000
Workmen Comp. Reserve	4,000	Machinery	10,000
	50,000		**50,000**

X and Y share profits in the proportion of 3:2. The following terms of admission are agreed upon:

(a) Revaluation of assets: Building ₹ 18,000; Stock ₹ 16,000.
(b) The liability on Workmen Compensation Reserve is determined at ₹ 2,000.
(c) Z brought in as his share of goodwill ₹ 10,000 in cash.
(d) Z was to bring in further cash as would make his capital equal to 20% of the combined capital of X and Y after above revaluation and adjustments are carried out.
(e) The future profit-sharing proportions were: X—2/5th, Y—2/5th and Z— 1/5th.

Prepare new Balance Sheet of the firm and Capital Accounts of the Partners.

(Ans: Revaluation Profit: ₹ 14,000; Capital Accounts: X: ₹ 39,200; Y: ₹ 20,800; Z: ₹ 12,000; Balance Sheet Total: ₹ 86,000)

87. Chris and Harris were partners in a firm sharing profits and losses in the ratio of 4:3. The following is the Balance Sheet of the firm as at 31st March, 2023:

Liabilities		**₹**	**Assets**		**₹**
Sundry Creditors		20,000	Cash		14,800
Bills Payable		3,000	Debtors	20,500	
Bank Overdraft		17,000	Less: Provision for Doubtful Debts	300	20,200
Capital A/cs:			Stock		20,000
Chris	70,000		Plant		40,000
Harris	60,000	1,30,000	Building		75,000
		1,70,000			**1,70,000**

They agreed to admit Tom as partner with effect from 1st April, 2023 with 1/4th share in profits on the following terms:

(a) Tom will bring in capital to the extent of 1/4th of the total capital of the new firm after all adjustments have been made.
(b) Building is to be appreciated by ₹ 14,000 and Plant to be depreciated by ₹ 7,000.
(c) The provision for doubtful debts on Debtors is to be raised to ₹ 1,000.
(d) Tom will bring in ₹ 21,000 as his share of goodwill.

Prepare Revaluation Account, Partners' Capital Accounts and Balance Sheet of the firm immediately after Tom's admission.

(Ans: Profit on Revaluation: ₹ 6,300; Balance Sheet Total: ₹ 2,49,733)

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88. A and B were partners sharing profits in the ratio of 2:1. C was admitted on 1st April 2023 as a partner. The Balance Sheet of A and B before C's admission was as follows:

Liabilities	₹	Assets	₹
Bills Payable	35,000	Cash	20,000
Sundry Creditors	25,000	Bills Receivable	30,000
Employee's Provident Fund	25,000	Building	70,000
Reserve	15,000	Car	50,000
A's Capital	60,000	Plant	30,000
B's Capital	40,000		
	2,00,000		**2,00,000**

The following terms were agreed upon:

(a) C pays 20% of the combined adjusted capitals of A and B as his share of capital. C also pays ₹ 30,000 for goodwill for 1/4th share in profits.

(b) Building was to be revalued at ₹ 90,000 and Car at ₹ 82,000. Plant was to be written down to ₹ 20,000.

Prepare Revaluation Account, Partners' Capital Accounts and the Balance Sheet of the new firm.

(Ans: Revaluation Profit: ₹ 42,000; Capitals: A: ₹ 1,18,000, B: ₹ 69,000, C: ₹ 37,400; Total of Balance Sheet: ₹ 3,09,400)

89. Rita and Sita were partners in a firm sharing profits in the ratio of 3:2. On 1st April, 2023, they admitted Gita as a new partner for 1/5th share in the profits of the firm. The Balance Sheet of Rita and Sita as on 1st April, 2023 was a follow:

Liabilities		₹	Assets		₹
Capital A/cs:			Land and Building		2,10,000
Rita	4,80,000		Plant		2,70,000
Sita	2,10,000	6,90,000	Stock		2,10,000
General Reserve		60,000	Debtors	1,32,000	
Workmen's Comp. Fund		1,00,000	Less: Provision	12,000	1,20,000
Creditors		90,000	Cash		1,30,000
		9,40,000			**9,40,000**

It was agreed that

(a) the value of Land and Building will be appreciated by 20%.
(b) the value of plant be increased by ₹ 60,000.
(c) Gita will bring ₹ 80,000 for her share of goodwill premium.
(d) the liabilities of Workmen's Compensation Fund were determined at ₹ 60,000.
(e) Gita will bring in cash as capital to the extent of 1/5th share of the total capital of the new firm.

Prepare Revaluation Account Partners' Capital Accounts and Balance Sheet.

(Ans: Profit on Revaluation: ₹ 1,02,000; Partners' Capital Accounts: Rita: ₹ 6,49,200; Sita: ₹ 3,22,800; Gita: ₹ 2,43,000; Cash Balance: ₹ 4,53,000; Balance Sheet Total: ₹ 13,65,000)

90. A and B are partners in a firm. They share profits and losses in the ratio 1:1. They admit C into partnership firm on the condition that he will bring ₹ 40,000 for goodwill and proportionate capital of the new firm. At the time of admission of C, the balance sheet of A and B was as under:

Liabilities		₹	Assets	₹
Creditors		40,000	Cash	70,000
Bills Payable		20,000	Debtors	40,000
Capitals:			Stock	50,000
A	1,50,000		Furniture	20,000
B	1,60,000	3,10,000	Machinery	1,30,000
			Land	60,000
		3,70,000		**3,70,000**

It was decided to:

(a) To revalue Stock at ₹ 40,000.

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(b) To decrease Furniture by ₹ 2,000 and Machinery by ₹ 10,000.
(c) To appreciate Land by ₹ 10,000.
(d) To make Provision of ₹ 2,000 on sundry Debtors for Doubtful Debts.
(e) That new profit-sharing ratio of A, B and C will be 2:1:1.

Prepare Revaluation Account, Partners' Capital Accounts and Balance Sheet of the new firm.

(Ans: Loss on Revaluation: ₹ 14,000; Capitals: A: ₹ 1,43,000; B: ₹ 1,93,000; C: ₹ 1,12,000; Total of Balance Sheet: ₹ 5,08,000)

91. The following is the Balance Sheet of Hari and Krishan who were sharing profits and losses in the ratio of 5:3:

Liabilities		**₹**	**Assets**	**₹**
Creditors		25,000	Cash	35,000
Bills Payable		10,000	Debtors	14,000
Workmen Comp. Reserve		8,000	Bills Receivables	20,000
General Reserve		16,000	Stock	15,000
Capital Accounts:			Fax Machine	7,000
Hari	40,000		Plant	20,000
Krishan	15,000	55,000	Computer	3,000
		1,14,000		**1,14,000**

On the above date, Kanha was admitted as a third partner with the following terms:

(a) Computer and Stock were revalued at ₹ 13,000 each.
(b) Kanha shall bring ₹ 8,000 as his share of goodwill in cash.
(c) Claim on account of Workmen's Compensation is estimated at ₹ 3,000.
(d) Kanha's share shall be 1/5th in future profits.
(e) Kanha was to bring necessary amount for his share of capital.

Prepare Revaluation Account, Partners' Capital Accounts and Balance Sheet of the new firm.

(Ans: Profit on Revaluation: ₹ 8,000; Capitals: Hari: ₹ 63,125, Krishan: ₹ 28,875; Kanha: ₹ 23,000; Balance Sheet Total: ₹ 1,53,000)

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